

Based on Plaintiff's Case Management Conference Statement. The Case Management Conference is continued to December 16, 2027, at 1:30 p.m. Plaintiff to provide notice to Defendant. No appearances are necessary on September 24, 2026.

Defendant's Motion to Compel Arbitration is GRANTED. The parties are ordered to binding arbitration on Plaintiff's individual employment claims. The Class claims are stricken from the Complaint. The proceedings are stayed pending the outcome of arbitration and the case management conference is vacated.

"Under section 1281.2, a trial court must grant a motion or petition to compel arbitration only 'if it determines that an agreement to arbitrate the controversy exists.' The court makes this determination in a summary process. (See § 1290.2.) '[T]he trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.'" (*Gamboa v. Northeast Community Clinic*, (2021) 72 Cal. App. 5th 158, 164, citing *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) "The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence." (*Gamboa*, 72 Cal. App. 5th at 164.) the burden of production may shift in a three-step process. (*Ibid.*) First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy, which could include attaching to the motion a copy of the arbitration agreement purporting to bear the party's signature. (*Ibid.*) If the moving party meets its initial prima facie burden, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement, which may be completed with a declaration stating the party never saw or does not remember seeing the agreement. (*Id.* at 165.) If the opposing party meets its burden of producing evidence, then, in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties by a preponderance of the evidence. (*Id.* at 165-166.)

Here, Defendant produced evidence of a written agreement to arbitrate. Plaintiff challenged the authenticity of the agreement by stating that he has no recollection of ever being presented with or otherwise receiving any arbitration agreement, having the opportunity to review it, or having it explained to him by any manager, supervisor, or human resource representative and attests he does not recall signing it. (Rios Mendez Decl. ¶¶ 5–8.) Plaintiff argues that he is not literate in Spanish, yet he took a written test and achieved a score of 94%.

The moving party then presented admissible evidence that the parties entered into a valid arbitration agreement. A comparison of the handwriting on the acknowledged Form W-4 with the handwriting on the other contemporaneous documents contained in the personnel file, including the arbitration agreement, supports the conclusion that the same person (Plaintiff) completed all of the employment onboarding documents. (See Decl. of M. Patricia Fisher (“Decl. of Fisher”) ¶¶ 1-17; Supp. Decl. of Andrea Beltran-Torres, Exs. 1-12.) Business records, kept in the ordinary course of business, have long been considered reliable, admissible evidence, excepted from the general hearsay rule. (See Cal. Evid. § 1271.) The business records offered, supported by the expert handwriting analysis and circumstantial evidence, support the conclusion that Plaintiff himself completed and signed the onboarding documents, including the arbitration agreement.

Plaintiff also argues that the arbitration agreement is procedurally and substantively unconscionable. The party opposing arbitration must establish both procedural and substantive unconscionability. (*Armendariz*, 24 Cal.4th at 114.) The two factors are judged on a sliding scale; “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable and vice versa.” (*Ibid.*) “The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” (*Sanchez v. Valencia Holding Co. LLC* (2015) 61 Cal.4th 899, 912.)

“A procedural unconscionability analysis ‘begins with an inquiry into whether the contract is one of adhesion.’” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) “An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*Ibid.*) “The pertinent question...is whether circumstances of the contract’s formation created such oppression or surprise that closer

scrutiny of its overall fairness is required.” (*Ibid.*) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Ibid.*)

“The circumstances relevant to establishing oppression include, ... (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*Id.* at 126-127.)

Plaintiff contends that the arbitration agreement is unconscionable because it is a contract of adhesion. However, he presents no evidence demonstrating that he lacked an opportunity to negotiate the terms of the agreement or attempted to do so. Moreover, Defendant did not require that employees sign an arbitration agreement as a condition of employment. The agreement is a short, legible contract. Plaintiff was permitted days after receiving the agreement to review and sign the agreement. Therefore, Plaintiff has not established procedural unconscionability.

Plaintiff must also demonstrate that the agreement is substantively unconscionable. Substantive unconscionability “typically is found in the employment context when the arbitration agreement is ‘one-sided’ in favor of the employer without sufficient justification.” (*Peng, supra*, 219 Cal.App.4th at 1472–1473.)

In *Cook v. University of Southern California*, the Court of Appeal held that the arbitration agreement was substantively unconscionable because of its broad scope, as it required arbitration of claims unrelated to the employment, it was of infinite duration and it lacked mutuality. (*Cook v. Univ. of S. Cal.* (2024) 102 Cal.App.5th 312, 317-326.) Here, the arbitration agreement explicitly states that the matters subject to arbitration consist of “disputes arising out of, relating to, or having any connection or link whatsoever to (Plaintiff’s) job search, employment by, or other association with the Company.” The agreement goes on to list claims arising under the National Labor Relations Act, claims for disability benefits under California’s Workers Compensation Act and claims with the Departmental of Employment Development. It is clear that the parties intended to narrow the

scope of matters to be arbitrated in such a manner that is distinguishable from the arbitration agreement in *Cook*. As a result, Plaintiff has not established substantive unconscionability.

CU-26-00174 American Express National Bank vs. Villareal, Jeremy

The Court has read and considered Plaintiff's Case Management Conference Statement. The Case Management Conference is continued to December 9, 2027, at 1:30 p.m. Plaintiff to provide notice to Defendant.

END OF TENTATIVE DECISIONS